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Case Number: 25STCV19753 Hearing Date: July 16, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

DAVID E. BROWN
and RENE S. BROWN,

Plaintiffs,

vs.

FORD MOTOR COMPANY, et al.,

Defendants.

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CASE NO.: 25STCV19753

[TENTATIVE] ORDER OVERRULING IN PART AND
SUSTAINING IN PART DEFENDANTS FORD MOTOR COMPANY AND FORD OF UPLAND'S
DEMURRER TO THE COMPLAINT

Dept. 506

8:30 a.m.

July 16, 2026

On June 27, 2025, Plaintiffs
David E. Brown and Rene S. Brown ("Plaintiffs") filed this action against
Defendants Ford Motor Company ("Ford") and Ford of Upland ("Upland")
(collectively, "Defendants") arising from Plaintiff's purchase of an allegedly
defective vehicle.

On
October 9, 2025, Defendants filed a demurrer. On July 6, 2026, Plaintiffs filed
an Opposition. On July 9, 2026, Defendants filed a Reply.

DISCUSSION

"The primary function of a pleading is to give the
other party notice so that it may prepare its case [citation], and a defect in
a pleading that otherwise properly notifies a party cannot be said to affect
substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th
203, 240.)

“A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether “the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (Id.) The Court does not “read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint ‘as a whole and its parts in their context.’ [Citation.]” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court “assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (Harris, supra, 56 Cal.4th p. 240.) “The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khouri v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

A.

Meet and Confer

Prior to filing a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.)

Here, Defendants' advance the declaration of their counsel of record, Reeti H. Patel, attesting to the following meet and confer efforts: "On October 8, 2025, counsel for Defendants met and conferred with Plaintiffs' counsel, Jacob Lister of Strategic Legal Practices, APC, via video conferencing regarding Defendants' intended Demurrer to the Complaint, including the specific grounds for the Demurrer. The parties were not able to informally resolve the issues relating to the deficiencies in each of the causes of action asserted in the Complaint, thereby necessitating Defendants' Demurrer." (Patel Decl., ¶5.) Thus, Defendants have fulfilled their meet and confer obligations.

B.

The Fifth Cause of Action

Sufficiently Alleges Negligent Repair

Defendants

argue that the fifth cause of action is barred by the economic loss rule. (Demurrer at pp. 19-21.) Under the economic loss rule, "[w]here a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic' losses." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.)

Here,

Plaintiff's tort claim for negligence by Upland is independent from the claims against Ford arising under the Song-Beverly Act. Specifically, Plaintiff alleges that Upland failed to "properly store, prepare and repair" the vehicle. (Compl., ¶49.) These are separate allegations against a defendant who was not a party to Plaintiff's warranty contract with Ford. Therefore, the economic loss rule does not bar Plaintiff's negligence cause of action.

The
demurrer is overruled.

C.

The Sixth Cause of Action
Does Not Allege Fraud with Specificity

Defendant

argues that the sixth cause of action for fraudulent concealment does not
allege sufficient facts. (Demurrer at
pp. 10-17.)

Fraud

based on concealment requires that “(1) the defendant must have concealed or
suppressed a material fact, (2) the defendant must have been under a duty to
disclose the fact to the plaintiff, (3) the defendant must have intentionally
concealed or suppressed the fact with the intent to defraud the plaintiff, (4)
the plaintiff must have been unaware of the fact and would not have acted as he
did if he had known of the concealed or suppressed fact, and (5) as a result of
the concealment or suppression of the fact, the plaintiff must have sustained
damage.” (Bigler-Engler v. Breg, Inc.
(2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).)

An

essential element of intentional concealment includes the duty to disclose,
which must be based upon a transaction, or a special relationship, between
plaintiff and defendant. (Id. at
p. 314.) “There are ‘four circumstances
in which nondisclosure or concealment may constitute actionable fraud: (1) when
the defendant is in a fiduciary relationship with the plaintiff; (2) when the
defendant had exclusive knowledge of material facts not known to the plaintiff;
(3) when the defendant actively conceals a material fact from the plaintiff;
and (4) when the defendant makes partial representations but also suppresses
some material facts.’” (Id. at p.
311.) “[O]ther than the first instance,
in which there must be a fiduciary relationship between the parties, ‘the other
three circumstances in which nondisclosure may be actionable presuppose[] the
existence of some other relationship between the plaintiff and defendant in
which a duty to disclose can arise. . . . “[W]here material facts are known to
one party and not to the other, failure to disclose them is not actionable

fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.”

[Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014)

228 Cal.App.4th 1178, 1187 (Hoffman).)

“Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro

v. Community Housing Improvement System & Planning Assn., Inc. (2009)

171 Cal.App.4th 1256, 1384.)

Plaintiffs allege, inter alia,

that the vehicle suffered from one or more defects that can result in the loss of power, stalling, engine running rough, engine misfires, failure or

replacement of the engine (“Engine Defect”). (Compl., ¶53.) Ford knew about the

Engine Defect before Plaintiffs’ purchased the vehicle. (Id., ¶¶57, 59, 62-65.) Because of the Engine Defect, “Plaintiffs

suffered an ascertainable loss of money, property, and value to the Subject

Vehicle, which is de minimis. Additionally, as a result of the Engine Defect,

Plaintiffs were harmed and suffered actual damages in that the Subject Vehicle’s

engine is substantially certain to fail before its expected useful life has

run.” (Id., ¶61.) Plaintiffs did not know about these defects

at the time of sale, and Ford, who had superior knowledge of the Engine Defect,

did not disclose the defects when Plaintiff purchased the vehicle. (Id., ¶¶60, 62, 67-68, 70-71, 74.) Had Plaintiffs known about the Engine Defect

they would not have purchased the vehicle. (Id., ¶¶60, 66.) The

allegations are specific enough to allege the information that was concealed

and the danger posed. (See Jones v. ConocoPhillips Co. (2011) 198

Cal.App.4th 1187, 1199-1200.)

However,

Plaintiff does not allege facts showing the existence of a relationship between

the parties that gives rise to a duty to disclose facts. (See Hoffman, supra, 228 Cal.App.4th

at p. 1187.) The Bigler-Engler Court explained that a duty to disclose facts

“arises only when the parties are in a relationship that gives rise to the

duty, such as “seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement”

[Citation]” and, in the absence of a fiduciary relationship, a fraudulent

omission case may be grounded on one party’s exclusive knowledge of material

facts, active concealment of material facts or suppression of material facts in

the context of a partial disclosure, but only where the parties share some sort

of relationship in which a duty to disclose may arise. (Bigler-Engler, supra,

7 Cal.App.5th at p. 311 [citing to *Shin v. Kong* (2000) 80 Cal.App.4th 498, 509].) The Bigler-Engler Court goes further to state that “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Id. at 312.) The complaint is devoid of any allegations that the vehicle was directly sold by Ford or that Ford financed the sale of the vehicle.

Furthermore, Plaintiffs cannot avail themselves to the ruling in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844, which found allegations that the manufacturer’s dealership was its agent for purposes of the sale were sufficient to support a duty to disclose. The complaint does not allege that the vehicle was sold by an authorized dealership of Ford or that Ford controlled or had any direct interest in the sale of the vehicle from an authorized dealership.

(See *Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1342–1343 [“There are no allegations to support the conclusion that the dealers acted as FMC’s agent in executing the sale contracts”].) The complaint merely alleges that Ford and its agents concealed the existence and nature of the Engine Defect from Plaintiffs at the time of purchase or thereafter. (Compl., ¶157.)

The demurrer is sustained on this ground.

D.

The Sixth Cause of Action
is Barred by the Economic Loss Rule

Defendant

argues that the sixth cause of action is barred by the economic loss rule. (Demurrer at pp. 17-19.) Under the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only ‘economic’ losses.” (Robinson *Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.) However, tort damages may be permitted when the breach of contract is accompanied by a tort such as fraud. (Id. at pp.

989-990.) To plead around the economic loss rule, a party must plead the existence of a duty that arises independent of any contractual duty and independent injury, other than economic loss, that arises from the breach of that duty. (Id. at pp. 988-991.)

“[U]nder California law, the economic loss rule does not bar [a claim] for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court” in Robinson, and such claims allege fraudulent conduct that is independent of the alleged warranty breaches. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The Supreme Court recently confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38.) “A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Ibid.) Therefore, a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule.

Here, however, Plaintiffs fail to establish all elements of fraudulent concealment independently of the parties’ contractual rights and obligations under the warranty contract. Additionally, Plaintiffs fail to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Specifically, Plaintiffs “suffered an ascertainable loss of money, property, and value to the Subject Vehicle, which is de minimis. Additionally, as a result of the Engine Defect, Plaintiffs were harmed and suffered actual damages in that the Subject Vehicle’s engine is substantially certain to fail before its expected useful life has run.” (Compl., ¶61.) Similarly, Plaintiffs “were entirely unaware that Plaintiffs purchased, and continues to drive, an unsafe and unreliable vehicle. As Defendant FORD knows, a reasonable person would consider the Engine Defect important and would not purchase or lease a vehicle equipped with the Engine Defect were the defect disclosed in advance.” (Id., ¶71.) There

are no sufficient facts alleged regarding the actually damaged Plaintiffs sustained outside of the conclusory allegation. Thus, the complaint only alleges purely economic harm, which was within the reasonable contemplation of the parties when they entered into the agreement via warranty contract. (See Rattagan, supra, 17 Cal.5th at p. 38.) Accordingly, this cause of action is barred by the economic loss rule.

The
demurrer is sustained on this ground.

CONCLUSION

Accordingly,
the demurrer to the complaint is SUSTAINED with 30 days leave to amend as to the sixth cause of action only and OVERRULED as to the fifth cause of action.

Defendants
Ford Motor Company and Ford of Upland to give notice.

Parties
who intend to submit on this tentative must send an email to the Court at indicating intention to submit. If all parties in the case submit on the tentative ruling, no appearances before the Court are required unless a companion hearing (for example, a Case Management Conference) is also on calendar.

Dated this 16th day of July 2026

Hon. Thomas D.
Long

Judge of the Superior
Court